

Builders Risk Insurance Proposal
Hanover Insurance Company - Marine Division

Prepared For: WAYPOINT DEVELOPMENT, LLC

 6260 & 6280 RIVERDALE STREET
 SAN DIEGO, CA 92114

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This proposal shows the premiums for the general coverages described, but in no way changes or affects any terms, conditions or exclusions of policies as actually issued. Premiums shown are based on information furnished to the company.

Proposal Date: 10/27/2025
Effective Dates: 10/29/2025 - 10/29/2026

Quote Number: 2380262

BUILDERS' RISK COVERAGE

Coverage Form: IM441 1352 Builders' Risk Coverage is "all risk" subject to policy form terms, conditions, and exclusions.

Project Description: A 1 STORY FRAME BUILDING(S) UNDER CONSTRUCTION AT 1781 COLTER LAKE COURT, EL CAJON, CA, 92019 TO BE OCCUPIED AS A RESIDENTIAL SINGLE-FAMILY HOME STRUCTURE.

Project Limits:

Limit for any one Building or Structure	\$806,402
Limit for all Buildings or Structures at Any One Job Site	\$806,402
Covered Property in Transit	\$100,000
Covered Property in Temporary Storage or Off Site Fabrication	\$100,000
Trees, plants, lawns and shrubs	\$25,000

Optional Coverages:

Equipment Breakdown and Testing Coverage

Property Damage Limits	\$806,402
Delay in Completion Coverage Limits	N/A
Equipment Breakdown and Testing Pollutants	\$50,000

Endorsements:

Additional Property Not Covered - Project Type

The following property is Not Covered: Bridges, dams, piers, wharves, towers, wind turbines, air supported structures, and utility projects (solar, gas, landfill methane capture, steam electric, hydro electric, electrical transmission and distribution systems including overhead and underground utility lines, electrical substations, power plants and power generating equipment and related property), laboratories or clean rooms, cannabis or cannabis related industry operations, or bit coin mining stations and operations.

Deductible:

Per Occurrence Deductible	\$2,500
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Valuation: Replacement Cost per the coverage form

Coinsurance: Is not applicable and does not apply. However, we anticipate that the applicable limit of insurance will reflect the completed value.

Additional Coverages:

Business Personal Property	\$10,000
Loss Adjustment Expense	\$5,000
Construction Trailers and Contents at Job Site	\$50,000
Contract Penalty Coverage	\$25,000
Debris Removal - Additional Limits	\$50,000
Emergency Removal to Preserve Covered Property	\$10,000
Expediting Expense	\$100,000
Expenses to Re-erect Undamaged Scaffolding, Fences, and Signs	Covered
Police and Fire Department Service Charge	\$50,000
Fire Suppression Equipment Recharging	\$50,000

Fungus, wet Rot, Dry Rot and Bacteria	\$100,000
Insufficiency of Limit	10% of Limit of Insurance/\$1,000,000 Maximum
Key Coverage	\$2,500
Ordinance or Law Coverage:	
Undamaged portions of the Building or Structure	Included in Building or Structure Limit
Demolition Costs and Increased Cost of Construction	\$1,000,000
Pollutant Clean Up and Removal	\$25,000
Reward Payment	\$10,000
Sewer and Drain Back Up Limit	\$50,000
Valuable Papers and Records	\$50,000

Permission to Occupy is Granted

Premium:

Total Premium	\$3,024
Terrorism Premium (Additional)	\$83
Minimum Earned Premium	\$2,500

This quotation is valid for thirty (30) days from the Proposal Date.

Terms and conditions outlined in the quote may differ from the specifications submitted; please review the specific coverage section for details on coverages and exclusions. Any changes to the information within your submission, or changes to the job specifications, will require amendment to the terms of this proposal.

THIS NOTICE IS PROVIDED IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS NOTICE DOES NOT GRANT COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF COVERAGE UNDER THE POLICY. IF THERE IS A CONFLICT BETWEEN THIS NOTICE AND THE POLICY, THE PROVISIONS OF THE POLICY SHALL APPLY.

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

SCHEDULE

DISCLOSURE OF PREMIUM:	
Total Terrorism Premium	\$ 83.00
Fire Following Premium	\$ Waived
Other than Fire Following Premium	\$ 83.00

Disclosure of Terrorism Coverage Available

You are hereby notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from "acts of terrorism" defined in Section 102(1) of the Act as follows:

Any act or acts that are certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The premium charged for this coverage is provided in the **SCHEDULE** above and does not include any charges for the portion of loss that may be covered by the Federal Government as described below. This premium has been added to your policy and unless this form is signed and returned to us to reject terrorism coverage, coverage for Certified Acts of Terrorism is provided by your policy.

Your policy may contain other exclusions which could affect your coverage, such as an exclusion for Nuclear Events or Pollution. **Please read your policy carefully.**

Note for Commercial Property or Commercial Inland Marine Policyholders in Standard Fire States:

In Standard Fire states, terrorism exclusions make an exception for (and therefore provide coverage for) fire losses resulting from an act of terrorism. Any policyholder with a location that we insure in a Standard Fire State that rejects our offer of terrorism coverage in this form will still have coverage with us for fire losses resulting from an act of terrorism.

Explanation of Premium

If a dollar amount is shown for Fire Following Premium in the **SCHEDULE** above that means we insure a location of yours in a Standard Fire State. Fire Following Premium is shown in the **SCHEDULE** above regardless of whether a policyholder with a location that we insure in a Standard Fire State accepts or rejects terrorism coverage with us. Fire Following Premium represents the charge for the coverage we provide for fire losses resulting from acts of terrorism. Fire Following Premium does not include Other Than Fire Following Premium. All Other Than Fire Following Premium is shown in the Other Than Fire Following Premium field in the **SCHEDULE** above.

If a dollar amount is shown for Other Than Fire Following Premium in the **SCHEDULE** above that means you have accepted terrorism coverage with us. Other Than Fire Following Premium represents the charge for terrorism coverage. Other Than Fire Following Premium does not include Fire Following Premium. If applicable, all Fire Following Premium is shown in the Fire Following Premium field in the **SCHEDULE** above.

The dollar amount shown for Total Terrorism Premium in the **SCHEDULE** above represents the sum of premium for Fire Following Premium and Other Than Fire Following Premium.

Disclosure of Federal Participation in Payment of Terrorism Losses

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals 80% of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

Cap on Insurer Participation in Payment of Terrorism Losses

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

Rejection of Terrorism Insurance Coverage*

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I decline to purchase terrorism coverage for certified acts of terrorism. I understand that I will have no coverage for losses resulting from certified acts of terrorism.

Applicant/Policyholder Signature

Print Name

Date

Hanover Insurance

Insurance Company

WAYPOINT DEVELOPMENT, LLC

Quote or Policy Number

*If this policy is a renewal and:

- a. You have previously submitted a signed Rejection, you are not required to submit an additional Rejection at this time; or
- b. You have previously accepted coverage and now wish to reject, you are required to complete and sign the Rejection of Terrorism Insurance Coverage above.